



In 2017, my investment portion is in high 40 percentiles

When you've shortlisted the major goals you'd like to invest in and then proceeded to fund them, what remains from your monthly salary is for short-term savings and finally, current expenses.

3) Savings

Often misunderstood and misinterpreted with investing, we save in places where we should have been investing in the first place. To avoid this mista

The savings bucket can be categorized into two:

- 1) Recurring expenses and
- 2) Short Term Goals

Expenses that are recurring every year (Diwali, NY bash, vacation) come under the recurring expenses umbrella. We will save toward these expenses by opening separate RD's in their name drawing from your salary account.

Short-term goals such as a car, downpayment for a home, your wedding come under this umbrella. While these are not repetitive, they are forecast to happen a few years down the line. The reason we don't invest in the equity market for these goals is because they're too near. Returns over the short term in equity is not guaranteed and that's why we save under the safer neighborhood of a Bank's RD. The returns are definite, risk is negligible and we can save with precision.

To differentiate short-term goals from long-term, take the golden number as 5 years. If your goal is only 5 years away, save using a bank's RD. If longer,